CA Earned Income Credit Form 3514 in TaxSlayer has two boxes for Medicaid Waiver payments:

In Home Supportive Services (IHSS) payments, or Medicare Waiver payments that are nontaxable for federal purposes that are NOT included on the CA return

$ (1)

Any Medicaid waiver payments, In Home Supportive Services (IHSS)payments, or IHSS supplementary payments that are nontaxable for federal purposes that are included on the CA return.

$ (2)

Box 1 is used to **include** Medicaid Waiver payments in California earned income when calculating CalEITC.

Box 2 is used to **exclude** Medicaid Waiver payments from California earned income when calculating CalEITC.

By default all Medicaid Waiver payments reported on W-2 forms in the tax return are already included in the California earned income used to calculate CalEITC.

- So if **including** Medicaid Waiver payments maximizes the taxpayer's CalEITC, leave Box 1 and Box 2 empty.
- But if **excluding** Medicaid Waiver payments from earned income increases the taxpayer's CalEITC, enter the total of all Medicaid Waiver payments in Box 2.

The amount in Box 2 flows to Line 14 (IHSS payments) of FTB Form 3514 and is subtracted from Line 13 (wages) to calculate Line 19 (California Earned Income).

Part IV California Earned Income

13	Wages, salaries, tips, and other employee compensation, subject to California withholding. See instructions.	● 13	.00
14	IHSS payments. See instructions.	◉ 14	.00
15	Prison inmate wages and/or pension or annuity from a nonqualified deferred compensation plan or a nongovernmental IRC Section 457 plan. See instructions.	◉ 15	.00
16	Subtract line 14 and line 15 from line 13.	● 16	.00
17	Nontaxable combat pay. See instructions.	◉ 17	.00
18	Business income or (loss). Enter amount from Worksheet 3, line 5. See instructions.	◉ 18	.00
19	**California Earned Income.** Add line 16, line 17, and line 18.	● 19	.00

Box 1 is only used to include Medicaid Waiver payments that are not already included in California earned income by default (for example, if they are not reported on a W-2). The amount entered in this box will be added to Line 13 (wages) on FTB Form 3514 to calculate Line 19 (California Earned Income).

FTB Form 3514 instructions for IHSS payments:

Line 14 – IHSS payments

You may elect to include or exclude your Medicaid waiver payments or IHSS payments that are nontaxable for federal purposes. If you elect to exclude such payments from your earned income for California EITC purposes, enter the amount you received as Medicaid waiver payments or IHSS payments that are nontaxable for federal purposes on line 14. If you elect to include such payments, leave line 14 blank. If you are filing a joint return, both you and/or your spouse/RDP can elect to include or exclude your own nontaxable Medicaid waiver payments or IHSS payments for California EITC purposes. Each must elect to include or exclude all such payments, not just a portion of it. You may elect to include or exclude such payments from earned income for California EITC purposes, whether or not you elect to include or exclude them for federal purposes.